Britam
With you every step of the way

FINANCIAL RESULTS FOR THE PERIOD ENDED 30 JUNE 2019

The Board of Directors of Britam Holdings Plc is pleased to announce the unaudited consolidated results for the 6 month period ended 30 June 2019.

Commentary on the Group Results

- The Group recorded a growth in profit before tax of 78 percent to Shs 2.4 billion compared to Shs 1.4 billion in June 2018.
- Life assurance recorded earned premium growth of 3 percent and continues cementing its position as the market leader.
- The embedded value increased to Shs 14.9 billion, a return of 11.9 percent as at the half year.
- In line with our regional expansion strategy, our international insurance businesses contributed 19 percent of the Group's topline and have contributed profitably to the Group.
- Total assets increased to Shs 113.8 billion, a 10 percent growth from 31 December 2018.
- The shareholders' funds increased to Shs 25.7 billion, an 8 percent growth from 31 December 2018.
- The asset management business continued its accelerated growth achieving Assets Under Management of Shs 172.7 billion.

DIVIDEND

The Board of Directors does not recommend payment of interim dividend.

Consolidated statement of profit or loss

	30 June 2019 Shs'000	30 June 2018 Shs'000	31 December 2018 Shs'000
Revenue			
Gross earned premium	12,616,363	12,525,964	24,325,111
Less: reinsurance premium ceded	(1,805,116)	(1,748,042)	(3,263,451)
Net earned premium	**10,811,247**	**10,777,922**	**21,061,660**
Fund management fees	313,406	394,025	661,113
Investment income	2,724,043	3,661,583	6,667,588
Net realised gains on financial assets	126,797	19,320	41,898
Net unrealised fair value gains/(loss) on financial assets at fair value through profit or loss	2,381,429	1,566,469	(3,091,171)
Commissions earned	508,679	488,549	857,381
Other income/(loss)	76,664	(59,475)	195,142
Total revenue	**16,942,265**	**16,848,393**	**26,393,611**
Expenses			
Insurance claims and loss adjustment expenses	5,905,353	5,839,965	10,704,713
Less: amount recoverable from reinsurers	(1,108,964)	(1,258,708)	(1,630,406)
Change in actuarial value of policyholder benefits	1,834,136	2,959,043	5,172,833
Net insurance benefits and claims	**6,630,525**	**7,540,300**	**14,247,140**
Interest payments/increase in unit value	1,985,660	1,428,604	1,688,638
Operating and other expenses	4,165,422	4,349,919	8,244,558
Finance costs	21,784	493,012	905,567
Commissions payable	1,665,656	1,673,723	3,313,922
Total expenses	**14,469,047**	**15,485,558**	**28,399,825**
Profit/(loss) before share of the profit of the associate	**2,473,218**	**1,362,835**	**(2,006,214)**
Share of (loss)/profit of the associates accounted for using the equity method	(46,982)	3,369	(289,656)
Profit/(loss) before tax	**2,426,236**	**1,366,204**	**(2,295,870)**
Income tax (expense)/credit	(753,159)	(385,182)	85,585
Profit/(loss) for the period	**1,673,077**	**981,022**	**(2,210,285)**
Profit/(loss) attributable to:			
-Owners of the parent	1,667,179	972,725	(2,229,955)
-Non-controlling interests	5,898	8,297	19,670
Earnings per share for profit attributable to the owners of the parent during the year			
- Basic and diluted (Shs per share)	0.66	0.44	(0.92)

Consolidated statement of other comprehensive income

	30 June 2019 Shs'000	30 June 2018 Shs'000	31 December 2018 Shs'000
Profit/(loss) for the period	**1,673,077**	**981,022**	**(2,210,285)**
Other comprehensive income items, net of tax:			
Items that will not be reclassified to profit or loss			
Gains on revaluation of land and buildings	-	-	7,396
Gains/(losses) on revaluation of financial assets at fair value through other comprehensive income	497,366	788,507	(594,413)
Re-measurement of the net defined benefit asset	-	-	(35,517)
Total items that will not be reclassified to profit or loss	**497,366**	**788,507**	**(622,534)**
Items that may be subsequently reclassified to profit or loss			
Share of other comprehensive income from associates accounted for using the equity method	-	-	17,138
Currency translation differences	(308,371)	15,513	(40,615)
Total items that may be subsequently reclassified to profit or loss	**(308,371)**	**15,513**	**(23,477)**
Total other comprehensive income/(loss)	**188,995**	**804,020**	**(646,011)**
Total comprehensive income/(loss) for the period	**1,862,072**	**1,785,042**	**(2,856,296)**
Attributable to:			
-Owners of the parent	1,856,174	1,776,745	(2,875,966)
-Non-controlling interests	5,898	8,297	19,670

Consolidated statement of financial position

	30-Jun-19 Shs'000	31 -Dec-18 Shs'000
CAPITAL EMPLOYED		
Share capital	252,344	252,344
Share premium	13,237,451	13,237,451
Other reserves	13,538,674	11,756,927
Retained earnings	(1,313,061)	(1,387,488)
Shareholders' funds	**25,715,408**	**23,859,234**
Non-controlling interests	102,834	96,936
Total equity	**25,818,242**	**23,956,170**
Assets		
Property and equipment	1,414,282	1,365,422
Intangible assets	2,181,592	2,122,184
Investment in associates	2,876,626	2,923,611
Goodwill	1,558,433	1,558,433
Deferred income tax asset	613,876	633,484
Retirement benefit asset	210,795	210,796
Investment property	7,544,040	7,651,596
Investment in property funds	8,321,671	8,850,953
Right of use asset	812,876	-
Financial assets at fair value through other comprehensive income	5,264,847	4,710,653
Financial assets at fair value through profit or loss	48,302,559	39,281,935
Government securities and corporate bonds at amortised cost	15,880,615	16,157,018
Mortgage loans and receivables	1,242,745	1,209,394
Loans and receivables to policyholders	1,383,573	1,301,118
Receivables arising out of reinsurance arrangements	509,513	703,320
Receivables arising out of direct insurance arrangements	2,444,722	2,317,194
Reinsurers' share of insurance liabilities	4,112,057	3,145,058
Deferred acquisition costs	639,903	482,053
Other receivables	1,957,503	1,944,610
Current income tax recoverable	348,142	320,498
Restricted cash	50,755	45,601
Cash and cash equivalents	6,114,679	6,721,401
Total assets	**113,785,804**	**103,656,332**
Liabilities		
Deferred income tax liability	3,569,618	2,831,319
Insurance contract liabilities	30,465,902	28,221,461
Payable under deposit administration contracts	37,637,830	34,174,911
Liabilities under investment contracts	3,031,855	3,003,326
Unearned premium	5,795,288	4,696,248
Lease Liability	865,482	-
Payables arising from reinsurance arrangements	1,643,439	1,252,887
Payables arising from direct insurance arrangements	42,416	-
Borrowings	2,163,384	2,786,861
Other payables	2,752,348	2,726,947
Current income tax	-	6,202
Total liabilities	**87,967,562**	**79,700,162**
Net assets	**25,818,242**	**23,956,170**

Consolidated statement of changes in equity

Period ended 30 June 2019	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	252,344	13,237,451	11,756,927	(1,387,488)	**23,859,234**	96,936	**23,956,170**
Comprehensive income							
Profit for the year	-	-	1,592,918	74,261	**1,667,179**	5,898	**1,673,077**
Other comprehensive loss, net of tax	-	-	188,995	-	**188,995**	-	**188,995**
Total comprehensive income for the year	**-**	**-**	**1,781,913**	**74,261**	**1,856,174**	**5,898**	**1,862,072**
At end of period	**252,344**	**13,237,451**	**13,538,840**	**(1,313,227)**	**25,715,408**	**102,834**	**25,818,242**

Consolidated statement of changes in equity (Continued)

Year ended 31 December 2018	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings/(Accumulated losses) Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Opening balance	216,260	7,706,782	13,579,959	332,832	756,911	22,592,744	77,266	22,670,010
Impact of adoption IFRS 9 phase 2	-	-	(63,269)	(444,339)	-	(507,608)	-	(507,608)
Share of associate's IFRS 9 & IFRS 15 Day 1 adjustment	-	-	(81,419)	(78,359)	-	(159,778)	-	(159,778)
Comprehensive income								
Loss for the year	-	-	(1,068,068)	(1,161,887)	-	(2,229,955)	19,670	(2,210,285)
Other comprehensive loss, net of tax	-	-	(646,011)	-	-	(646,011)	-	(646,011)
Total comprehensive loss for the year	**-**	**-**	**(1,714,079)**	**(1,161,887)**	**-**	**(2,875,966)**	**19,670**	**(2,856,296)**
Transfer to other reserves	-	-	35,735	(35,735)	-	-	-	-
Transactions with owners								
Issue of Shares	36,084	5,530,669	-	-	-	5,566,753	-	5,566,753
Dividends:							-	-
- Final for 2017 paid	-	-	-	-	(756,911)	(756,911)	-	(756,911)
Total transactions with owners of the parent recognised directly in equity	**36,084**	**5,530,669**	**35,735**	**(35,735)**	**(756,911)**	**4,809,842**	**-**	**4,809,842**
At end of year	**252,344**	**13,237,451**	**11,756,927**	**(1,387,488)**	**-**	**23,859,234**	**96,936**	**23,956,170**

Consolidated statement of cash flows

	30-June-2019 Shs'000	31 Dec-2018 Shs'000
Cash generated from operations	3,549,303	5,245,106
Income tax paid	(203,037)	(665,134)
Net cash generated from operating activities	**3,346,266**	**4,579,972**
Investing activities		
Purchase of property and equipment	(198,783)	(168,403)
Purchase of intangible assets	(256,181)	(366,838)
Purchase of investment property	(208,906)	(1,321,910)
Investment in property funds	(109,663)	411,473
Proceeds from disposal of fixed assets	-	11,205
Purchase of quoted shares at fair value through profit or loss	(40,129)	(1,267,763)
Proceeds of disposal of quoted ordinary shares at fair value through profit or loss	1,175,708	168,008
Net investment in unit trusts at fair value through profit or loss	1,818,984	723,919
Net investment in government securities at fair value through profit or loss	(10,635,057)	(9,768,850)
Net investment in government securities at amortised cost	328,128	953,928
Net investment in corporate bond held at amortised cost	(49,284)	174,671
Mortgage loans advanced	(156,556)	(150,777)
Mortgage loans repayments	129,523	202,650
Policy loans advanced	(702,173)	(1,212,025)
Policy loans repayments	726,794	1,154,578
Dividends received from associate	-	59,754
Dividends received from equity investments at fair value through profit or loss	460,808	537,566
Dividends received from equity investments at fair value through other comprehensive income	177,934	270,338
Rent and interest received	2,611,034	4,706,147
Net cash used in investing activities	**(4,927,818)**	**(4,882,329)**
Cash flows from financing activities		
Lease payments of principal	(126,246)	-
Issue of new shares	-	5,720,000
Dividends paid	-	(756,911)
Bank loan received	2,249,250	2,774,000
Bank loan Paid	(1,339,250)	(1,819,000)
Medium Term Note Redeemed	-	(6,000,000)
Interest paid	(9,205)	(1,066,450)
Net cash (used in)/from financing activities	**774,549**	**(1,148,361)**
(Decrease)/increase in cash and cash equivalents	(807,003)	(1,450,718)
Cash and cash equivalents at start of year	6,972,437	8,423,155
Cash and cash equivalents at end of year	**6,165,434**	**6,972,437**